

BARC: Barclays PLC

Valuation Discount · Income Engine · Resilient Fundamentals

NTM P/E	LTM P/E	Price / Book	Div. Yield
8.40x	10.60x	0.98x	3.5%
Deep value	Historical	2% disc. to book	+75.7% DPS YoY
Value Rank	Growth Rank	EPS CAGR 2Y Fwd	ROE 2026E
77/100	62/100	+21.5%	10.70%
Top 20% in EU universe	EU universe	Forward estimate	vs 8.29% 2025A

THE QUANTITATIVE VALUE CASE FOR BARCLAYS PLC

The market loves chasing high-multiple growth stories, but true alpha is often hidden in plain sight. Barclays PLC presents a compelling case for a deep-value, high-yielding compounder. With a **Value Rank of 77/100** — placing it in the **top 20% of the European universe** — and robust double-digit forward earnings growth, Barclays is exactly the kind of institutional-grade opportunity our quantitative models are designed to surface across 3,700+ European equities.

1 · The Valuation Disconnect — Deep Discount

You are effectively buying a structurally vital, globally diversified banking institution at a meaningful discount to its intrinsic value.

- **Compressed Multiples:** NTM P/E of **8.40x** and LTM P/E of **10.60x** — deep-value territory for a franchise with re-accelerating bottom-line growth.
- **Book Value Discount:** Price-to-Book of **0.98x** — buying one of the UK's largest banks at a discount to its book value. The margin of safety is clear.
- **Re-Rating Potential:** As earnings compound and ROE expands toward peer levels, multiple normalisation alone represents a significant source of total return.

2 · Robust Capital Returns — The Income Engine

Value investing is not just about low multiples — it is about being paid while you wait for the re-rating.

- **Stellar Income Upside:** While trailing dividend yield sits at **3.5%**, forward estimates project a massive surge in the payout.
- **Growing Payout:** Dividend per share estimated to expand from £0.09 to **£0.15 (+75.7% YoY)** — signalling management's confidence in the earnings trajectory.
- **Net Income Scaling:** Normalised Net Income projected to grow from £6,209M to **£7,114M (+14.6% YoY)** — a credible and well-covered expansion of the income base.

3 · Resilient Fundamentals — Not a Value Trap

Many value stocks are cheap because they are broken. Barclays PLC is not.

- **ROE Expansion:** Return on Equity projected to structurally improve from 8.29% to **10.70%** — a highly meaningful step toward premium multiple territory.

■ **Margin Efficiency:** EBIT Margins expanding from 39.1% to **42.2%** — highlighting tightening operational discipline across the franchise.

■ **Earnings Acceleration:** Forward 2-Year EPS CAGR of **+21.5%** — this is not a stagnant legacy business, but a highly efficient cash machine with structural growth.

The Bottom Line

Trading at a single-digit forward earnings multiple, a discount to book value, and backed by a projected 21.5% forward EPS CAGR, Barclays PLC is the perfect antidote to market over-exuberance. A Value Rank of 77/100 places it firmly in the top 20% of the European universe — flagged by our quantitative models as a high-conviction name among 3,700+ European equities. This is exactly how our models filter real value from value traps: stop guessing, start calculating.

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